

SAP Procurement SOP (Simplified)

Standard Operating Procedure - Procure-to-Pay in SAP S/4HANA Cloud

1. Purpose

- Define a standard, repeatable procure-to-pay (P2P) process for purchasing goods and services using SAP S/4HANA Cloud (Public Edition), Sourcing and Procurement.

2. Scope

- Applies to indirect and direct purchasing handled through Purchase Requisitions (PR), Purchase Orders (PO), Goods Receipt (GR)/service confirmation, and Supplier Invoice processing.

3. Roles and Responsibilities

Role	Responsibility
Requester	Creates and tracks purchase requisitions.
Buyer (Purchasing)	Converts approved PRs to POs, manages suppliers, negotiates terms.
Approver	Reviews and approves PRs and POs per delegation of authority.
Receiving	Performs goods receipt / service confirmation and records discrepancies.
Accounts Payable	Verifies invoices, resolves discrepancies, posts supplier invoices.

4. High-Level P2P Process

- Step 1 - Requirement Identification: user identifies the need and checks existing contracts or catalog content.
- Step 2 - Purchase Requisition: requester enters material/service, quantity, delivery date or service period, account assignment, and preferred supplier; workflow triggers approval by value, account, or purchasing group.
- Step 3 - Source Determination and RFQ (if needed): buyer determines source of supply (info records, contracts, scheduling agreements, source lists); if none, issues RFQs and compares quotations.
- Step 4 - Purchase Order Creation: buyer converts PR or quotation into a PO with correct pricing, tax, delivery terms, and account assignment; PO is sent via email, EDI, or SAP Business Network.
- Step 5 - Order Acknowledgment (optional): supplier confirms; buyer/system records confirmations and adjusts dates or quantities.
- Step 6 - Goods Receipt / Service Confirmation: receiving records GR or approves a service entry sheet; stock and accounting are updated.
- Step 7 - Supplier Invoice: AP posts or parks the invoice referencing PO and/or GR and resolves variances; GR/IR and open items update.
- Step 8 - Payment: finance executes the payment run per agreed terms.

5. Key Controls

- Mandatory reference to a PR or contract for PO creation above defined thresholds.
- Approval workflows for PRs, POs, and invoices based on value and risk.
- Three-way match (PO-GR-Invoice) for material purchases; two-way where no GR applies.
- Periodic review of open PRs, open POs, and blocked invoices.

- AI copilots (Joule) act under the user's existing business roles and authorizations - access governance still applies.

6. System References (SAP S/4HANA Cloud)

- Self-Service Requisitioning and professional My Purchase Requisitions apps for PR creation and processing.
- Purchase Order apps for PO creation, change, and monitoring.
- Goods receipt and confirmation apps for inbound deliveries, POs, and service entry sheets.
- Supplier Invoice apps for posting, monitoring, and releasing blocked invoices.
- Joule copilot and AI-Assisted Easy Filter / Smart Summarization for natural-language navigation and faster decisions.

Sample knowledge-base document - SAP S/4HANA Cloud (Public Edition), Sourcing and Procurement. For demonstration use in the ERP AI Procurement Assistant.